Economics - Undergraduate Level Assessment 9 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. As a result of automatic stabilizers during economic expansions government expenditures

   (a) remain constant and taxes rise.

   (b) fluctuate and taxes rise.

   (c) fall and taxes remain constant.

   (d) rise and taxes fall.

   (e) and taxes rise.

2. If the government regulates a monopoly to produce at the allocative efficient quantity, which of the following would be true?

   (a) The monopoly would make an economic profit.

   (b) The monopoly would break even.

   (c) The monopoly would increase its prices.

   (d) The deadweight loss in this market would increase.

   (e) The deadweight loss in this market would decrease.

3. Which of the following statements about a price ceiling is accurate?

   (a) A price ceiling will have no effect on the quantity of the good supplied.

   (b) A price ceiling will cause a shift in the supply curve for the good.

   (c) A price ceiling always results in a surplus of the good.

   (d) A price ceiling will increase the total revenue of buyers.

   (e) An effective price ceiling must be at a price above the equilibrium price.

4. The United States produces rice in a competitive market. With free trade the world price is lower than the domestic price. What must be true?

   (a) The United States begins to import rice to make up for a domestic shortage.

   (b) The United States begins to export rice to make up for a domestic shortage.

   (c) The United States begins to import rice to eliminate a domestic surplus.

   (d) The United States begins to export rice to eliminate a domestic surplus.

5. If the Federal Reserve was concerned about the "crowding-out" effect they could engage in

   (a) expansionary monetary policy by lowering the discount rate.

(b) expansionary monetary policy by selling Treasury securities.

(c) contractionary monetary policy by raising the discount rate.

(d) contractionary monetary policy by lowering the discount rate.

True / False (10 marks)

Answer True or False

6. True or False: An autonomous increase in spending is an increase in spending that directly corresponds to a rise in income levels.

7. True or False: Air is free because its marginal utility is zero, indicating it is not a scarce good.

8. True or False: If the price of aluminum falls, the supply of bicycles is expected to rise, assuming other factors remain constant.

9. True or False: If a Durbin Watson statistic takes a value close to zero, the first order autocorrelation coefficient will be close to minus one.

10. True or False: An increase in government spending will cause the aggregate demand curve to shift to the left.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of John's constant marginal propensity to consume of 3/4 and his break-even point of $7,000 on his borrowing needs when his income is$3,000. How much would he need to borrow, and why?

12. Discuss how the ownership of a unique item, such as the only original signed copy of The Wealth of Nations by Adam Smith, impacts its supply curve and overall market value.

End of Paper